Motorola Solutions (MSI): Hold - Valuation Concerns

Analyst: Justin Wen

The business is superb: record $15.6B backlog, 33% operating margins, and software growing double digits. At $450.74, the price simply outruns the fundamentals. We see $368.40 fair value, 18.3% downside.

Hold - Valuation Concerns	$368.40	$450.74	-18.3%
RATING	BASE TARGET (BLENDED $369.80)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

Price targets are dynamic and adjust with live Treasury yields, the equity risk premium, and beta. The valuation website always reflects the most current targets.

$322.93 / $419.45	8.80%	+13%	$15.6B	34.2%	~$17.67
BEAR / BULL TARGETS	LIVE WACC	Q2 REVENUE GROWTH	RECORD BACKLOG (+11%)	S&S OP MARGIN	FY26 EPS MIDPOINT

Executive summary

We rate Motorola Solutions **Hold - Valuation Concerns** with a $368.40 base-case target (blended $369.80), implying 18.3% downside from $450.74. Nothing about the operating story has deteriorated: Q2 revenue accelerated to 13% growth, ending backlog hit a record $15.6B (up 11%), non-GAAP operating margin reached 32.9%, and management raised full-year guidance for both revenue and EPS. Software and Services is growing 10-18% with a 34.2% operating margin, and the $1.5B D-Fend acquisition adds counter-drone leadership to the Silvus defense channel. This is the textbook Hold - Valuation Concerns: a healthy, well-run business at a price that assumes it can do no wrong.

Our five-year DCF (4% / 7% / 9% revenue CAGRs, 16% / 18% / 20% FCF margins) yields Bear $322.93, Base $368.40, Bull $419.45 at an 8.80% live WACC. The bull case sits 7% below spot: even a flawless five years cannot justify $450.74. We reserve Sell for names where overvaluation meets fundamental deterioration; MSI is the opposite. We would turn constructive below $330, where the base case starts to offer compensation for the risk.

> **Our read:** the market prices perfection into one of the finest franchises in public safety. MSI deserves a premium multiple: $15.6B of backlog is roughly 1.2 years of forward revenue, software mix keeps marching up, and capital returns are relentless. But at $450.74 the implied five-year revenue CAGR sits above our bull case, and recent prints were flattered by a one-time $60M IEEPA tariff refund that added $0.25 to EPS and 190bps to margins. Patience, not selling, is the right posture.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	4%	7%	9%
2030 revenue ($B)	15.5	17.8	19.5
Steady-state FCF margin	16%	18%	20%
Terminal growth	3.0%	3.0%	3.0%
Target per share	**$322.93**	**$368.40**	**$419.45**

WACC 8.80% live (spot 10Y ~5.2% + equity beta x implied ERP), with beta decaying from the live read toward a mature communications-equipment peer by the terminal year. Gordon terminal. FY2026 revenue guide implies roughly 11% growth over FY2025's $11.68B.

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Bull case: $419.45 SOFTWARE-LED COMPOUNDER

Software and Services sustains double-digit growth with 35%+ operating margins, the Silvus and D-Fend defense channels compound, AI Assist and SVX body-worn assistants drive a real product cycle, and FCF margins reach 20% on mix shift. Worth $419.45, still 7% below spot. Perfection is not enough at $450.74.

Bear case: $322.93 HARDWARE HEADWINDS

AI-driven memory inflation permanently compresses Products margins (Q1 hardware margin fell 330bps to 24.8%), inventory builds keep tying up working capital, tariffs re-accelerate, and the government shutdown risk that shadowed FY2025 returns. Worth $322.93, 28% below spot.

Verdict

We rate MSI Hold - Valuation Concerns. The business is firing: record backlog, 33% operating margins, software growing 10-18% with a 34.2% margin, raised guidance, and two well-chosen defense acquisitions. The concern is purely valuation: at an 8.80% live WACC our base case ($368.40) sits 18.3% below spot, and even the bull case ($419.45) cannot reach $450.74. We never label Sell on overvaluation alone, and there is no deterioration here: growth is accelerating, margins are expanding, and cash generation is strong. We would turn constructive below $330, where the base case offers a margin of safety.

What would change our mind

- **Price:** a decline below $330 would bring the base case into a favorable risk-reward zone.
- **Software acceleration:** S&S sustaining 15%+ growth with 36%+ margins would support a higher bull case.
- **Margin recovery:** Products margins recovering above 27% on pricing and mix would lift the base case.
- **Downside risk:** a government shutdown or renewed tariff escalation would pressure the hardware side and warrant a lower target.

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Q2 2026: bull vs bear

Bull read

Acceleration. Revenue grew 13% as Products and Systems Integration rebounded 15% to $1.9B and Software and Services grew 10%.

Visibility. Record $15.6B ending backlog, up 11% year over year, with S&S backlog up $1.2B. That is roughly 1.2 years of forward revenue contracted.

Raised and expanding. FY2026 revenue and EPS guidance raised (EPS midpoint ~$17.67, up ~14.8%); $1.5B D-Fend acquisition adds counter-drone leadership.

Bear read

One-time padding. A $60M IEEPA tariff refund added $0.25 to EPS and 190bps to margins. True operating margin expansion was only about 140bps, not 330bps.

Component costs. AI-driven memory inflation pushed inventory to $1.33B from $983M, tying up working capital and pressuring cash conversion.

Ex-refund trajectory. Q3 non-GAAP EPS guidance of $4.415 is roughly flat sequentially once the refund is excluded.

Key themes

1. Software transition is the engine ACCELERATING

Software and Services grew 18% in Q1 and 10% in Q2 with a 34.2% operating margin and $11.7B of its own backlog. Every point of mix shift toward software raises the franchise multiple.

2. Products segment re-accelerated ACCELERATING

Products and Systems Integration surged 15% in Q2 after tough post-shortage comparisons. The AI Assist suite and SVX body-worn assistant mark the start of a real product cycle.

3. Defense M&A is strategic, not financial ACCELERATING

The $4.4B Silvus acquisition closed in FY2025 and the $1.5B D-Fend deal adds counter-drone capability. Defense and unmanned systems open a second growth vector beyond public safety.

4. Hardware margins under memory-cost pressure DECELERATING

Q1 Products margin fell 330bps to 24.8% on AI-driven memory inflation, and inventory ballooned to $1.33B. Pricing actions and mix will decide whether this is transitory or structural.

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Other KPIs

METRIC	VALUE
Q2 2026 revenue / YoY	+13% (Products +15%, S&S +10%)
Q2 non-GAAP operating margin	32.9% (+330bps)
S&S operating margin	34.2% (+550bps)
Ending backlog	$15.6B (+11% YoY)
FY2026 non-GAAP EPS guide	~$17.67 midpoint (+14.8%)
Q3 2026 non-GAAP EPS guide	$4.415 midpoint
Inventory	$1.33B (from $983M)
FY2025 operating cash flow	$2.8B
FY2025 revenue / operating margin	$11.7B (+8%) / 30.3%

Guidance

Management raised FY2026 guidance on the Q2 print: revenue now implies roughly 11% growth over FY2025's $11.68B, and non-GAAP EPS was raised to a midpoint of about $17.67, up roughly 14.8% year over year. Q3 non-GAAP EPS guidance of $4.415 is roughly flat sequentially once the one-time $60M IEEPA tariff refund is excluded. Back-to-back raises on record backlog is a sign of demand strength, not sandbagging.

Watch items

- **Margin quality:** the Q2 margin beat was padded by the one-time tariff refund; watch H2 ex-refund margins for the true trend.
- **Memory costs:** AI-driven memory inflation and the $1.33B inventory build are the key variables for Products margins and cash conversion.
- **D-Fend integration:** the $1.5B counter-drone deal must accrete; watch cross-sell into the Silvus defense channel.
- **Federal funding:** government shutdown risk and tariff escalation remain the structural overhangs on the hardware business.
- **Software adoption:** AI Assist suite and video-as-a-service penetration will decide how far mix shift can carry margins.

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Reverse DCF: what the market is pricing in

At $450.74, MSI carries a market value that sits above even our bull case. The market-implied five-year revenue CAGR is roughly **10%**, above our 9% bull case, at a 20% FCF margin. That leaves no room for the memory-cost pressure, tariff exposure, or federal funding volatility on display in the numbers.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~10%	$450.74 (spot)
Bull case	9%	**$419.45**
Base case	7%	**$368.40**
Bear case	4%	**$322.93**

The market is pricing a flawless five years at a 20% FCF margin on a company whose Q2 margins were flattered by a one-time refund and whose hardware margins just fell 330bps. This is a wonderful franchise at a demanding price, not a business to bet against. Patience, not shorting, is the right posture.

Risks to our Hold

- **Software inflection:** S&S sustaining 15%+ growth would justify a higher multiple and a higher bull case.
- **Defense super-cycle:** Silvus and D-Fend could compound faster than our 9% bull case if counter-drone budgets step-change.
- **Multiple compression:** a growth scare or market derating could take the stock well below our $322.93 bear case.
- **Tariff escalation:** renewed trade restrictions on components would hit Products margins and cash flow.

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